

# National Treatment

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## 1 Introduction

Governing calls upon governments to make distinctions. The investment treaty standard of national treatment typically requires that there should be no distinction in the treatment accorded to foreign investors and investments that are in like circumstances to national investors and investments. The standard is premised on notions of equality and wrongful discrimination. It assumes that foreign nationals may be the subject of economic discrimination favouring locals and that such a distinction should be irrelevant in economic spheres. National treatment is meant to serve as a prophylactic against such unjust discrimination.<sup>1</sup>

A significant challenge to these assumptions is that, while states may engage in condemnable behaviour, large empirical data sets reveal that non-national investors typically are not vulnerable to discrimination even after having a well-established presence in host states. Indeed, the evidence suggests that such firms exercise outsized influence over host state behaviour.<sup>2</sup> From this angle, the assumption that states are likely to target foreign nationals looks like a form of 'stereotyping' of host states.<sup>3</sup> Discrimination law censures stereotyping

<sup>1</sup> National treatment has been eclipsed by other standards, like fair and equitable treatment. According to the data generated by the United Nations Conference on Trade and Development (UNCTAD), tribunals found violations of fair and equitable treatment (including minimum standard of treatment and denial of justice) in 133 cases and national treatment in nine cases. See <https://investmentpolicy.unctad.org/investment-dispute-settlement/> (accessed 17 March 2020); and findings in Gus Van Harten, *Sovereign Choices and Sovereign Constraints: Judicial Restraint in Investment Treaty Arbitration* (OUP 2013) 101.

<sup>2</sup> Relying on World Bank data drawing on the experience of companies operating in eighty countries during the period from 1999 to 2000, Aisbett finds that foreign firms are 'no more or less influential' than domestic firms and that 'both foreign and domestic multinationals are significantly more influential' than other firms. See Emma Aisbett, 'Powerful Multinational or Persecuted Foreigners: "Foreignness" and Influence over Government' Centre for Economic Policy Research Discussion Paper No 638, Australian National University (April 2010) 19.

<sup>3</sup> Stereotyping arises in circumstances where negative characteristics are attributed to an individual merely by virtue of group membership. See *Law v Canada* [1999] 1 SCR 497 [64].

unless it is 'premised upon informed statistical generalizations'.<sup>4</sup> In this case, statistics simply do not support the premise.

There is a further problem with the idea of equality that is promoted by investment law. Not only are foreign investors required to be treated no worse than locals; investment law also ensures that foreign investors receive treatment *better* than that received by locals. As discussed below, in some circumstances national treatment results in preferential treatment compared to that received by local economic actors. The problem is compounded by the paucity of other protections available to foreign investors under investment treaty law. These protections, in the aggregate, impose not merely equal but vastly unequal treatment.<sup>5</sup> Levelling as between nationals and foreigners is, therefore, inadequate to the mindset of investment treaty lawyers and arbitrators. How this preferential treatment for foreign investors is to be squared with the principle of non-discrimination has not been the subject of arbitral decision-making or of much scholarly discussion.<sup>6</sup>

As national treatment is only a relative, and not an absolute, standard of treatment it is typically considered a modest restriction on state policy space.<sup>7</sup> It will be seen, however, that this standard authorizes intrusive international control of state action. Investment law, as will be discussed, is not so much concerned with unjust discrimination as it is with maintaining open markets for powerful economic actors.

This chapter scrutinizes features of national treatment doctrine that are revealed in treaty text and arbitral interpretation. Various problems with the doctrine will be highlighted, two in particular. First, as both direct (*de jure*) and indirect (*de facto*) discrimination are encompassed by the standard, the widest possible range of government action is subject to arbitral review. Second, this breadth of review is compounded by the restricted availability of the defence of justification. Instead, the standard of scrutiny applied by tribunals, and endorsed by many scholars, insists that even non-discriminatory objectives cannot be justified by states unless the discriminatory impact is

<sup>4</sup> *ibid* 106. On stereotyping as marker of discrimination and over-inclusive generalizations see Sophia Moreau, 'Equality Rights and Stereotypes' in David Dyzenhaus and Malcolm Thorburn (eds), *Philosophical Foundations of Constitutional Law* (OUP 2016) 283–303, para 291.

<sup>5</sup> This can be likened to Georg Simmel's 'most favoured position' in 'Superordination and Subordination' in Kurt H Wolff (ed), *The Sociology of Georg Simmel* (The Free Press 1950) 101–85, para 275.

<sup>6</sup> It could be argued, for instance, that differential treatment is necessary so as to promote equality, as was argued by South Africa in the *Foresti* dispute (discussed below), but this argument has not been favoured by investment law scholars and arbitrators.

<sup>7</sup> See Don Wallace Jr and David B Bailey, 'The Inevitability of National Treatment of Foreign Direct Investment with Increasingly Few and Narrow Exceptions' (1998) 31 *Cornell International Law Journal* 615, 619.

insignificant, no matter how valuable the public policy objective that is being pursued. So long as discrimination plays some role in the measure—in the OECD's words, as long as the measure is 'motivated, at least in part' by discrimination against foreigners<sup>8</sup>—it will not survive scrutiny under national treatment. Both of these moments, when the arbitral jurisprudence has taken a wrong turn, result in foreign investors being granted a degree of solicitude typically available only to the most vulnerable groups in society—those 'discrete and insular minorities'<sup>9</sup> who have suffered historic disadvantage at the hands of majorities. Such problems point to the merits of the Calvo doctrine, which insists not only on equality between nationals and foreigners but also on ensuring that claims of discriminatory treatment be settled in local courts according to local law.<sup>10</sup>

Various tribunals have focused on three questions in their national treatment analysis: is the claimant or his investment in like circumstances with locals; has there been less favourable treatment; and is there a justification for that treatment?<sup>11</sup> With few exceptions,<sup>12</sup> the first and second questions have been compressed into a single inquiry. This is probably because it is unusual for a charge of discrimination not to involve some degree of differential treatment. Even the third question of justifiable discrimination often gets squeezed into the first ('like circumstances') stage of the analysis. While the following discussion does not follow this typology precisely, it does examine these and other questions posed by tribunals. The emphasis is on recurring interpretive problems that have plagued national treatment analysis, particularly those arising from incorporating indirect, and not just direct, discrimination, identifying proper comparators, and determining acceptable justifications. In addition, some largely neglected issues are addressed, including standards of scrutiny and the claim that the standard confers no greater rights than those available to locals. I turn first to a brief discussion of the origins of the treaty text.

<sup>8</sup> OECD, *National Treatment for Foreign-Controlled Enterprises* (Paris 1993) 22.

<sup>9</sup> This is the language in *United States v Carolene Products Co* 304 US 144 (1938) [153], fn 4.

<sup>10</sup> See Donald R Shea, *Calvo Clause: A Problem of Inter-American and International Law and Diplomacy* (University of Minnesota Press 1955); Carlos M Calvo, *Le droit international théorique et pratique* (Guillaumin 1880). For a translation of a part of Calvo's treatise see Edward M Gallaudet, *A Manual of International Law* (H Holt 1879).

<sup>11</sup> *Grand River Enterprises Six Nations Ltd and Others v United States of America*, UNCITRAL, Award (12 January 2011) 163.

<sup>12</sup> See eg *ADF Group Inc v United States*, ICSID Case No ARB AF/00/1 (9 January 2003).

## 2 Origins

The origins of investment law's national treatment standard can be found in both national constitutional law and international law. National constitutions, at least since the French Declaration on the Rights of Man, have emphasized equal treatment as a foundational principle of legitimate law. At its origins, equality was mostly a formal requirement.<sup>13</sup> Many things could be done by the state, so long as there was no distinction between persons, for instance, in their ability to contract or own property.<sup>14</sup> As the principle came to be understood in the US Reconstruction era, equal treatment in the fifth and fourteenth amendments mandated no distinction between 'classes.' For instance, economic legislation disturbing the distribution of wealth and power between employers and employees was constitutionally forbidden.<sup>15</sup> Investment law's standards of treatment exhibit, in some material respects, a similar prejudice against class legislation.

With the advent of Roosevelt's New Deal, strict scrutiny of economic legislation came to be viewed as illegitimate, as it is now in many jurisdictions. Modern equal protection doctrine has reversed these earlier priorities, concerning itself mostly with the protection of vulnerable groups. In the language of famous footnote four in the US Supreme Court's ruling in *Carolene Products*, which justified the new paradigm, a more 'searching judicial inquiry' is warranted for laws that exhibit 'prejudice against discrete and insular minorities' as these tend 'seriously to curtail the operation of those political processes ordinarily to be relied upon to protect minorities.'<sup>16</sup> Yet, there are limits even to the circumstances giving rise to this more searching judicial inquiry—or 'strict scrutiny'—in US constitutional law. Only intentional, or direct, discrimination is cognizable to courts applying US equal protection doctrine. Unintentional, or indirect discrimination, apart from one narrow exception,<sup>17</sup> is not of much

<sup>13</sup> 'Men are born and remain free and equal in respect of their rights' in National Assembly, 'Declaration of the Rights of Man and Citizen' (1789) art 1 (emphasis added).

<sup>14</sup> What are called civil rights in TH Marshall, 'Citizenship and Social Class' in TH Marshall, *Class, Citizenship and Social Development: Essays by T.H. Marshall* (Anchor Books 1965) 71.

<sup>15</sup> *Lochner v New York* 198 US 45 (1905). On this critical period see Howard Gillman, *The Constitution Besieged: The Rise and Decline of Lochner Era Police Powers Jurisprudence* (Duke University Press 2003).

<sup>16</sup> *United States v Carolene Products Co* 304 US 144 (1938).

<sup>17</sup> The exception concerns indirect burdens on interstate commerce which are cognizable under 'dormant' commerce clause doctrine. Implied in the grant of Congressional power to 'regulate commerce ... among the several States' (US Constitution, art 1, s 8, cl 3.) is a negative prohibition against states disrupting interstate trade (this is the commerce clause in its dormant state). While the standard of review under the dormant commerce clause lacks clarity and consistency, Congress can always fix, via its positive grant of power to regulate commerce, what may be flawed judicial reasoning. By contrast, the corrective of unilateral legislative supervision is not available in the case of investment arbitration.

constitutional interest. This is because of a worry, as the US Supreme Court has expressed it, that expansive constitutional review would be too ‘far-reaching’ and disrupt dominant social and economic expectations.<sup>18</sup> The Court came around to endorsing a heightened standard of scrutiny—an intermediate tier—only for sex-based discrimination. In a sequence of cases argued by then Professor Ruth Bader Ginsburg in the 1970s, this heightened scrutiny had the effect of rooting out formal legal distinctions between the sexes.<sup>19</sup>

The US version of equal protection falls well short of other newer constitutional regimes, such as the 1996 South African Constitution, which captures both intentional and unintentional discrimination as a means of rooting out vestiges of racism in South African society.<sup>20</sup> The same is true for many of the world’s operative democracies, rendering US equal protection doctrine more of an outlier in today’s world. To the extent that constitutional orders are interested in unintentional as well as intentional discrimination, they will have wide-ranging socio-economic impacts as a broader spectrum of government behaviour is subject to constitutional scrutiny. Much turns, then, on the standard of scrutiny that is adopted.

The international law origins of national treatment are traceable, it is said, to the twelfth and thirteenth centuries.<sup>21</sup> Though there may be numerous historic parallels, Vandeveld’s study of the origins bilateral investment treaties (BITs) looks to more recent friendship, commerce, and navigation treaties (FCNs) for guidance. Vandeveld reveals that the US intention in signing FCNs was to internationalize US constitutional law.<sup>22</sup> Standards analogous to those in the Bill of Rights were considered suitable for other countries to adopt. Vandeveld reports that the State Department would not ‘recommend a treaty provision which would go beyond’ US constitutional principles in order to avoid granting to foreign investors ‘more favorable treatment’ than that available to US citizens.<sup>23</sup> We can surmise that only intentionally

<sup>18</sup> It ‘would raise serious questions about, and perhaps invalidate, a whole range of tax, welfare, public service, regulatory, and licensing statutes that may be more burdensome to the poor and to the average black than to the more affluent whites’ in *Washington v Davis* 426 US 229 (1976).

<sup>19</sup> For a discussion see Wendy W Williams, ‘Ruth Bader Ginsburg’s Equal Protection Clause: 1970–80’ (2013) 25 *Columbia Journal of Gender and Law* 1.

<sup>20</sup> The state nor any person ‘may not unfairly discriminate directly or indirectly against anyone’ in Constitution of the Republic of South Africa (1996) art 9, ss 3, 4.

<sup>21</sup> United Nations Conference on Trade and Development (UNCTAD), National Treatment (United Nations 1999) 9.

<sup>22</sup> Kenneth J Vandeveld, *The First Bilateral Investment Treaties: U.S. Postwar Friendship, Commerce, and Navigation Treaties* (OUP 2017) 23, 26, 379.

<sup>23</sup> *ibid* 287. Vandeveld admits that the treaties did in some ways go beyond these constitutional protections by, for instance, ‘incorporating certain rights under customary international law and providing limited protection against exchange controls’ which were less robust than US law. But, he insists, ‘any substantive protections essentially replicated the treatment that foreign investors already received under existing US law and policy’ 385.

discriminatory violations of national treatment were intended to be caught. In other words, it was not a program to go beyond what equal protection doctrine provided under the fifth and fourteenth amendments of the US Constitution.

Scholars have occasionally looked to trade law in order to inform their analyses of national treatment in investment law. Some arbitrators, however, have been reluctant to draw on that experience, distinguishing sharply between the two regimes.<sup>24</sup> It is claimed that they serve different purposes even as they invoke nearly identical language.<sup>25</sup> To this end, DiMascio and Pauwelyn distinguish between the trading regime, promoting economic efficiency and competition between traders, and the investment law regime which, they say, is 'remarkably different', focusing almost exclusively on the rights of investors. From this angle, they argue, investment law is 'about protection, not liberalization'.<sup>26</sup> Their argument, however, elides the principal aim of those promoting investment law strictures. Once internalized, those norms are expected to discipline states so that they exhibit the behaviour of 'well-ordered' states.<sup>27</sup> States are expected to withdraw from the 'job of shaping events' and retire, instead, 'to the role of observers'.<sup>28</sup> For this reason, Kurtz more accurately captures the common aim of thwarting 'distortion in the domestic political process', namely lobbying by well-organized domestic interests.<sup>29</sup> According to this public choice account, there will be a decisive tilt in both trade and investment law that favours market liberalization and economic freedom. Newcombe and Paradell similarly pinpoint 'equality of competitive opportunities' as the animating purpose of national treatment.<sup>30</sup> It is in the service of these objectives, ones associated with the promotion of economic liberalism, that the standard of national treatment can potentially

<sup>24</sup> See eg *Pope & Talbot v Canada*, UNCITRAL–NAFTA, Interim Award (26 June 2000).

<sup>25</sup> 'WTO law cannot simply be transposed onto investment law' in José Alvarez, 'Beware: Boundary Crossings' in Tsvi Kahana and Anat Scolnicov (eds), *Boundaries of State, Boundaries of Rights: Human Rights, Private Actors, and Positive Obligations* (CUP 2016) 43, 63.

<sup>26</sup> Nicolas DiMascio and Joost Pauwelyn, 'Nondiscrimination in Trade and Investment Treaties: Worlds Apart or Two Sides of the Same Coin?' (2008) 102 *American Journal of International Law* 48, paras 56, 58.

<sup>27</sup> Thomas W Wälde, 'The Umbrella Clause in Investment Arbitration' (2005) 6 *Journal of World Investment and Trade* 183, para 188.

<sup>28</sup> Franz Böhm, Walter Eucken, and Hans Grossman-Doerth, 'The Ordo Manifesto of 1936' in Thomas Biebricher and Frieder Vogelmann, *The Birth of Austerity: German Ordoliberalism and Contemporary Neoliberalism* (Rowman & Littlefield 2017) 27, para 31.

<sup>29</sup> Jürgen Kurtz, *The WTO and International Investment Law: Converging Systems* (CUP 2016) 87–90.

<sup>30</sup> Andrew Newcombe and Lluís Paradell, *Law and Practice of Investment Treaties: Standards of Treatment* (Kluwer Law 2009) 152, 162. See also Wallace and Bailey (n 7) 616 (the goal being the 'ultimate elimination of all barriers to market access for all foreign economic actors in all sectors').

stand in the way of policy priorities opposed to the logic of the movement of capital.

These comparative exercises, having reference to other international law as well as national constitutional law, continue to attract controversy. It turns out, however, that the roots of national treatment doctrine have not played much of a role in its interpretation and application. The next section turns to the distinction between direct (*de jure*) and indirect (*de facto*) discrimination, followed by discussion of the issues of identifying comparators, allowing justifications for differential treatment, specifying standards of scrutiny and, finally, addressing the paradox of conferring greater rights on foreign investors.

### 3 Discrimination

Investment treaties are opaque on the issue of whether both intentional (*de jure*) and unintentional (*de facto*) discrimination are intended to be captured by national treatment. Typically, there will be no specificity about whether intentional or unintentional discrimination is covered or whether different considerations apply in each case. An example is the (relatively new) language in the EU–Canada Comprehensive Economic and Trade Agreement (CETA):<sup>31</sup>

#### Article 8.6: National treatment

1. Each Party shall accord to an investor of the other Party and to a covered investment, treatment no less favourable than the treatment it accords, in like situations to its own investors and to their investments with respect to the establishment, acquisition, expansion, conduct, operation, management, maintenance, use, enjoyment and sale or disposal of their investments in its territory.

By now, lack of clarity on this issue must be considered deliberate. Many states appear content with the capacious scope of national treatment obligations in the treaties. As an example of a different approach, the draft Indian Model BIT text incorporated a number of innovations, including an intentionality

<sup>31</sup> In 'Section C' entitled 'Non-Discriminatory Treatment'.



requirement that confined coverage to de jure discrimination.<sup>32</sup> This innovation was abandoned in the final version of the text.<sup>33</sup>

Despite the ambiguity, investment arbitrators have not hesitated to proscribe both types of discriminatory conduct, albeit without much explanation.<sup>34</sup> The *SD Myers* tribunal, one of the first tribunals to offer a fulsome interpretation of national treatment, represents a watershed moment in this regard. Six years after the coming into force of the North American Free Trade Agreement (NAFTA), the tribunal concluded, in a series of short bullet points, that among the factors to be considered were: (a) ‘whether the practical effect of the measure is to create a disproportionate benefit for nationals over non-nationals’ and (b) ‘whether the measure, on its face, appears to favour its nationals over non-nationals who are protected by the relevant treaty’.<sup>35</sup>

It is interesting that the tribunal addressed, first, the possibility of unintended discrimination (disproportionate impact) and, second, intentional discrimination, as if these were the only two possible categories. They are not. While facial distinctions on prohibited grounds, like nationality, are typically prima facie prohibited, *purposeful* discrimination ‘may often be inferred from the totality of the relevant facts, including the fact, if it is true, that the law bears more heavily’ on a targeted group than another, observed the US Supreme Court.<sup>36</sup> For the US Supreme Court, the task is to root out invidious discrimination. This may appear on the face of the law or it may be ‘inferred’ from the facts. It is pretty clear that the *SD Myers* tribunal considered the first category of disproportionate impact to be the all-encompassing one. The tribunal noted that: ‘Intent is important, but protectionist intent is not necessarily decisive on its own.’<sup>37</sup>

<sup>32</sup> The text directed (1) that the parties do not accord ‘less favourable treatment in the application of laws and (2) that a breach of national treatment occurs only in the case of ‘intentional and unlawful discrimination on the basis of nationality’. See ‘Model Text for the Indian Bilateral Investment Treaty’, art 4 (April 2015) at [https://www.mygov.in/sites/default/files/master\\_image/Model%20Text%20for%20the%20Indian%20Bilateral%20Investment%20Treaty.pdf](https://www.mygov.in/sites/default/files/master_image/Model%20Text%20for%20the%20Indian%20Bilateral%20Investment%20Treaty.pdf) (last accessed 17 December 2019).

<sup>33</sup> See ‘Model Text for the Indian Bilateral Investment Treaty’ (December 2015) in Martins Paparinskis, *Basic Documents in International Investment Protection* (2nd edn, Hart Publishing 2019) 735.

<sup>34</sup> This explanation was offered in *Standard Chartered Bank (Hong Kong) v Tanzania*, ICSID Case No ARB/15/41, Final Award (11 October 2019) [408]: it would ‘reduce the scope of protection without explicit mention’.

<sup>35</sup> *SD Myers Inc v Canada*, Ad hoc–UNCITRAL Arbitration Rules, First Partial Award and Separate Opinion (13 November 2000) [252]; The tribunal reversed the order of inquiry proposed by the Government of Canada in *SD Myers Inc v Canada*, Government of Canada Counter Memorial (5 October 1999) 274. *SD Myers* argued only that the ‘effect’ of the order was to violate national treatment in *SD Myers Inc v Canada*, Investor’s Supplemental Memorial (15 December 1999) [99].

<sup>36</sup> *Washington v Davis* 426 US 229 (1976) (Justice White).

<sup>37</sup> *SD Myers Inc v Canada* (n 35) [254].



This interpretive approach, originating in *SD Myers*, has been faithfully replicated in many subsequent arbitral awards.<sup>38</sup> With few exceptions, it is mostly taken for granted that investment law's national treatment standard encompasses the widest possible scope of state action. Authorizing scrutiny of measures that, both de jure and de facto, impact on investors and their investments is probably the most significant development in the jurisprudence, as it grants to arbitrators a supervisory role over the widest possible range of policy measures. Foreign investors are entitled to the same solicitude available only to discrete and insular minorities in some host states, all of whom will have experienced historic patterns of prejudice. In contrast, foreign investors are generally among the most privileged actors in the contemporary world.<sup>39</sup>

## 4 Likeness

As investment treaty arbitration took off in the late 1990s and early 2000s, it became necessary to answer the question of whom to compare to whom in disputes founded in national treatment. This analysis would determine whether differential treatment, giving rise to discrimination, had occurred. What soon became apparent was the problem of identifying the appropriate comparator for the purposes of conducting a defensible analysis. A similar problem has arisen in national constitutional contexts.<sup>40</sup> Recognizing that this choice can be determinative of many outcomes, the issue became a considerable preoccupation for the Supreme Court of Canada—a jurisprudential 'battleground', according to one justice of the Court.<sup>41</sup> In a challenge to the citizenship requirement to practice law in the province of British Columbia, a 'formal equality' approach,

<sup>38</sup> There is 'weak support from other tribunals for the proposition that intention to disfavour or discriminate is an essential element to establish less favourable treatment or discrimination' in *Standard Chartered Bank (Hong Kong) v Tanzania*, ICSID Case No ARB/15/41, Award (11 October 2019) [407], a contract-based arbitration.

<sup>39</sup> I have addressed the faulty claim that investors are analogous to vulnerable minorities in David Schneiderman, 'Investing in Democracy: Political Process and International Investment Law' (2010) 60 *University of Toronto Law Journal* 909.

<sup>40</sup> This will be the case even if only a 'class of one' alleges discrimination, eg *Village of Willowbrook v Olech* 528 US 562 (2000) (asking whether a claimant 'has been intentionally treated differently from others similarly situated'). That investment law claims are inherently comparative is underscored by the fact that it is structured to secure not special privileges from states but withdrawal of states from interfering in markets. That is, the purported aim is to ensure state 'neutrality' as between locals and foreigners rather than expanding any state's distributive functions; On the disguised role of equality analysis in 'levelling up' distribution. See Denise Reaume, 'Dignity, Equality, and Comparison' in Deborah Hellman and Sophia Moreau (eds), *Philosophical Foundations of Discrimination Law* (OUP 2013) 7–27.

<sup>41</sup> *Hodge v Canada (Minister of Human Resources Development)* [2004] 3 SCR 357 [18] (Justice Binnie).

associated with Aristotle (that likes should be treated alike), was rejected by the Court in *Andrews*.<sup>42</sup> The Court observed that formal equality would vindicate abhorrent discrimination like Nazi Germany's Nuremberg laws; so long as all members of the sub-class of German Jews had been treated similarly, there was no discrimination. Rather than adopting a fixed formula, the Court's majority adopted a contextual approach—what has come to be characterized as 'substantive equality'. In conducting equality analysis, the Court now takes into account not only 'the context of the law which is subject to challenge' but also 'the context of the place of the group in the entire social, political and legal fabric of our society'.<sup>43</sup> It is not far removed from the US Supreme Court's inquiry into 'prejudice against discrete and insular minorities' as laid down in *Carolene Products*.

This contextual approach turned out to be a cramped inquiry. The Court sought out for comparison those who were identical to the claimant in all respects but for the impugned characteristic (eg nationality, sex, etc.). This 'mirror comparator' inquiry resulted in outcomes that, despite the Court's references to context, were highly formalistic, focusing heavily on treating like cases alike. Responding to academic criticism, the Court subsequently rejected the search for mirror comparators in favour of a more nuanced and contextual inquiry.<sup>44</sup> The Court even concluded that the identification of a comparator may not be necessary in some cases.<sup>45</sup>

In the international context, the OECD noted the significance of this exercise for investment law when it offered an interpretation of the circumstances in which a foreign investor is 'in a like situation' to a national economic actor. Such a comparison, the OECD advised, 'is only valid if it is made between firms operating in the same sector'.<sup>46</sup> It was appropriate, the OECD continued, to examine '[m]ore general considerations, such as the policy objectives' of the host state in order to help 'define the circumstances in which comparison between foreign-controlled and domestic enterprises is permissible'.<sup>47</sup> The advice issuing out of the OECD was that economic competitors were the best-suited comparators for national treatment analysis in investment law.

<sup>42</sup> That 'things that are alike should be treated alike, while things that are unlike should be treated unlike in proportion to their unalikehood' in *Andrews v Law Society of British Columbia* [1989] 1 SCR 143, quoting Aristotle, *Ethica Nichomacea* (W Ross tr.) Book V3, at p 1131a-6 (OUP 1925).

<sup>43</sup> *Andrews* (n 42).

<sup>44</sup> *Withler v Canada (Attorney General)* [2011] 1 SCR 396 [58]; *Fraser v Canada (Attorney General)* 2020 SCC 28 [94].

<sup>45</sup> *Withler* (n 44) [65].

<sup>46</sup> Quoted in *SD Myers Inc v Canada* (n 35) [248].

<sup>47</sup> *ibid* [248].

This method of analysis was, in turn, embraced by the tribunal in *SD Myers*. In this NAFTA dispute, the Government of Canada had closed the US-Canada border to hazardous waste, with a view to protecting the business of the only facility that had capacity to dispose of PCB waste in Canadian territory. The tribunal concluded that US and Canadian hazardous waste operators were ‘in like circumstances’—NAFTA’s language, which the tribunal treated as equivalent to ‘in like situations’—and that the US-based operator had been expecting to ‘attract customers’ away from its Canadian competitor. This is the reason why, the tribunal surmised, the Canadian company lobbied the government to close the border to exports in order to check its competition.<sup>48</sup> Notably, the tribunal also invoked the Supreme Court of Canada’s reasoning in *Andrews* to support a contextual approach to its comparison, eschewing a ‘purely mechanical ... similarly situated’ test in favour of a more contextual and flexible one that was intended to protect marginalized vulnerable groups.<sup>49</sup>

The identification by tribunals of a proper comparator has led to both underinclusive and overinclusive inquiries. To illustrate, in *Methanex*, the tribunal sought a mirror comparator to a Canadian investor that produced methanol for use as a gasoline additive in order to reduce fuel emissions. The additive had been prohibited for sale in California on the basis that it posed a ‘significant risk to the environment.’<sup>50</sup> Methanex claimed that the ban intentionally favoured a US competitor who produced ethanol for use as a substitute fuel additive, amounting to a violation of NAFTA’s national treatment standard. The Canadian investor, however, failed to establish that California had intentionally discriminated against the company—the ban, after all, was supported by a variety of independent scientific studies. Vitally, the tribunal declined to seek out a comparator in competition with Methanex to produce an additive that would reduce gasoline emissions, namely, the US-based producer of ethanol. Instead, the tribunal chose a domestic comparator that was ‘most like’ the foreign investor, that is, other producers of methanol. As all the producers of Methanol had been treated similarly, there was no discrimination. According to the tribunal, it would be ‘perverse to ignore identical comparators if they were available and to use comparators that were less “like” the investor.’<sup>51</sup> By limiting itself to a mirror comparator, the tribunal effectively

<sup>48</sup> *ibid* [251].

<sup>49</sup> *ibid* [122].

<sup>50</sup> *Methanex Corporation v United States*, Ad hoc—UNCITRAL Arbitration Rules, Final Award on Jurisdiction and Merits (3 August 2005), Part IV, Chapter B art 1102.

<sup>51</sup> *ibid* [17].

dodged the discrimination claim, marking a very different approach from that in *SD Myers*.<sup>52</sup>

Beyond investment arbitration, one could accuse the European Court of Justice of a similar dodge. It was asked to consider whether the CETA, between Canada and the European Union, treated nationals of EU member states differently from Canadian nationals, in part because European nationals would be unable to launch investment disputes against European states under CETA. This differential treatment, it was argued, contravened the declaration in Article 20 of the European Convention of Human Rights that ‘everyone is equal before the law’. The Court declined to resolve whether CETA conferred rights greater than those available to European citizens. Doing so might have required more work than the Court was willing to undertake, namely, a comparison of the rights and protections in CETA to those in European legal instruments and an assessment of the respective quality of their enforcement. It was no doubt easier to reject the comparison laid out in the referral to the Court. To this end, the Court redefined the comparator for the purposes of its discrimination analysis. European nationals were not ‘comparable to that of enterprises and natural persons of Member States that invest within the Union’, the Court declared in a short discussion of the point.<sup>53</sup> They were instead more ‘similar to Canadian persons within Canada’ as they simply ‘are not foreign investors’.<sup>54</sup> By redefining the comparator group in this way, employing a formalistic analysis that strictly treated like cases alike, the European Court of Justice was able to define away the equality problem.

If this European Court ruling and the *Methanex* award were instances in which the decision-maker chose a comparator that was underinclusive, the *Occidental* tribunal moved in the opposite direction, adopting an overinclusive group for comparison.<sup>55</sup> Ecuador had instituted a Value Added Tax (VAT) rebate for manufacturers involved in the export of goods. The program was expanded to include a wide swath of industrial and agricultural goods and services, including oil exports. The Ecuadorian taxing agency revisited this

<sup>52</sup> It is not mere coincidence that the United States managed to dodge liability, as it has in every other investment dispute where it appears as respondent, through a constrained reading of an investment treaty standard of protection. This can be explained, in part, as the product of strategic arbitral decision-making. See discussion in David Schneiderman, ‘International Investment Law’s Unending Legitimation Project’ (2017) 49 *Loyola University Chicago Law Journal* 229, 254–55.

<sup>53</sup> Court of Justice of the European Union, Opinion 1/17 (30 April 2019) ECLI:EU:C:2019:341, para 180.

<sup>54</sup> *ibid* para 181.

<sup>55</sup> *Occidental Exploration and Production Company v Ecuador*, LCIA Case No UN 3467, Award (1 July 2004).

tax holiday for oil exporters, ultimately reversing its policy, and requiring that US-based Occidental repay, with interest, deductions that had already been granted. In these circumstances, the tribunal accepted Occidental's claim that there was a violation of national treatment by distinguishing between exporters. Instead of seeking a domestic comparator in the same sector, however, the tribunal compared Occidental's treatment to all exporters in a wide variety of sectors. Any comparative need for 'like situations', the tribunal concluded, 'cannot be interpreted in the narrow sense advanced by Ecuador as the purpose of national treatment is to protect investors as compared to local producers, and this cannot be done by addressing exclusively the sector in which that particular activity is undertaken'.<sup>56</sup> Had the tribunal chosen to seek out actual competitors that were, like Occidental, producing oil for export, it would have found only the Ecuadorian national oil company, Petroecuador, as a candidate. The state-owned oil company was also unable to take advantage of the VAT rebate. Moreover, Ecuador argued, in place of a VAT rebate for foreign investors, the government had incorporated a comparable discount to calculate royalties owed by Occidental to the state.<sup>57</sup> The most dismaying aspect of the tribunal's analysis was that it failed to identify any discrimination at all between foreign and domestic investors. Without analysis, the tribunal simply stated that the investor had received less favourable treatment 'than that accorded to national companies.' As the tribunal admitted, this less favourable treatment, broadly compared, was not purposeful discrimination. On the contrary, the taxing authority had acted in a 'very professional' manner in accordance with 'what it thought was its obligation ... under the law'.<sup>58</sup> By implication, the tribunal mandated that the taxing authority should have set aside its domestic legal obligations in order to protect the revenues of a multinational oil company.

From this survey of comparators, we can observe that there is inconsistency in the approaches taken. That recommended by the OECD appears to be favoured by most arbitrators.<sup>59</sup> *Methanex* and *Occidental*, for this reason, can be considered outliers. Comparing actors in the same sector makes sense if one focuses on state behaviour that limits equality of economic competition. The promotion of economic equality, after all, is the predominant

<sup>56</sup> *ibid* [173].

<sup>57</sup> It is curious that DiMascio and Pauwelyn claim that there was, in this dispute, an 'absence of any legitimate reason to distinguish to distinguish between the foreign and domestic investments' in DiMascio and Pauwelyn (n26) at 85.

<sup>58</sup> *Occidental* (n 55) [177].

<sup>59</sup> As declared in Campbell McLachlan, Laurence Shore and Matthew Weiniger, *International Investment Arbitration: Substantive Principles* (2nd edn, OUP 2017) 343.

purpose of national treatment protections. Such a market ideal—of firms freely in competition—underscores how international investment law relies on economic modalities to condemn behaviour it sees as irrational. From this point of view, national treatment is a quintessentially market-friendly human right.<sup>60</sup>

Yet, the market-focused perspective may elide other, non-economic rationales for differential treatment. For this reason, it is worth heeding the advice of the *Grand River Enterprises* tribunal that all of the ‘legal regime(s) applicable to a claimant and its purported comparators’ serve as ‘a compelling factor’ in national treatment analysis.<sup>61</sup> In other words, the larger national legal context in which the investor and investment operate is relevant to a tribunal’s analysis.<sup>62</sup> Decision-makers are warranted in examining the whole of the circumstances that give rise to complaints of discrimination and not exclusively treatment vis-à-vis any set of comparators. One can then examine whether distinctions are defensible from a public policy point of view. It also raises the possibility that exceptions from equal treatment may, in some instances, be warranted or desirable, an issue to which we next turn.

## 5 Justification

In *SD Myers*, the tribunal acknowledged that an assessment of like circumstances ‘must also take into account circumstances that would justify governmental regulations that treat them differently in order to protect the public interest.’<sup>63</sup> Put differently, there will be circumstances where distinctions, whether intentional or not, will be justified based on the public interest. Nothing more was said by the *SD Myers* tribunal on this key point, other than to acknowledge that the Canadian government’s goal to maintain an ability to process PCBs in Canada ‘was a legitimate goal’ consistent with Canada’s duties under the Basel Convention, an international convention committing states to

<sup>60</sup> Upendra Baxi, *The Future of Human Rights* (2nd edn, OUP 2016).

<sup>61</sup> *Grand River Enterprises Six Nations Ltd et al v United States of America* (n 11) [167].

<sup>62</sup> See ‘Model Text for the Indian Bilateral Investment Treaty’ (December 2015) art 5, fn 2 in Paparinskis (n 33) 69 (The ‘totality of the circumstances’ should be considered in order to determine whether ‘legitimate regulatory objectives’ are being pursued). USMCA, cl 14, art 14.4(4) (‘For greater certainty, whether treatment is accorded in “like circumstances” under this Article depends on the totality of the circumstances, including whether the relevant treatment distinguishes between investors or investments on the basis of legitimate public welfare objectives’) <https://ustr.gov/sites/default/files/files/agreements/FTA/USMCA/Text/14-Investment.pdf> (accessed 22 December 2019).

<sup>63</sup> *SD Myers* (n 35) [250]. The same considerations will apply when the ‘like situations’ language is used.

dispose of their own hazardous waste within their own borders.<sup>64</sup> Even so, according to the tribunal, this goal was not a direct 'legitimate environmental reason for [Canada] introducing the ban' on PCB exports but, rather, an 'indirect environmental objective'.<sup>65</sup> Moreover, the means employed by Canada were themselves said to be illegitimate. A number of 'equally effective' alternative measures had been available to Canada to achieve its 'indirect goal' which, for the tribunal, would not have run afoul of national treatment.<sup>66</sup> Here, the tribunal appears to have applied a strict proportionality analysis (discussed further below), blending its analysis of the validity of a claimed justification by the state with the question of whether there were less restrictive alternatives available to the state.<sup>67</sup>

Few tribunals have followed *SD Myers* in acknowledging this justificatory step in the analysis.<sup>68</sup> When doing so, they have typically considered justifiable departures from equal treatment in the course of answering the question of whether foreign investors were in like circumstances to national comparators.<sup>69</sup> Ortino describes this approach as a 'second function' served by the analysis of like circumstances.<sup>70</sup> Yet, the exercise of identifying comparators seems ill-suited to an evaluation of justifications.<sup>71</sup> In so far as justifiable distinctions do not amount to a violation of national treatment, it would be preferable to treat justifications as exceptions.<sup>72</sup> That is, public policy justifications in national treatment doctrine

<sup>64</sup> *ibid* [255].

<sup>65</sup> *ibid* [195].

<sup>66</sup> *ibid* [195], referring to NAFTA, art 104 (1) and at *SD Myers Inc v Canada* (n 35) para [255].

<sup>67</sup> As standards of scrutiny are addressed in the next section, this discussion is confined to rationales that justify departures from national treatment.

<sup>68</sup> Titi advises that a 'right to regulate' (which the justification exception to national treatment implicitly recognizes) is confined mostly to expropriation and FET and is overly reliant on 'arbitrary discretion' in Aikaterini Titi, *The Right to Regulate in International Investment Law* (Nomos 2014) 301.

<sup>69</sup> This is aside from what Titi (n 68) at 134 describes as 'idiosyncratic exceptions' to non-discrimination. She includes South Africa's equality-promoting exception, introduced in 2000, as an example of this. See discussion of this practice in David Schneiderman, *Constitutionalizing Economic Globalization: Investment Rules and Democracy's Promise* (CUP 2008) 155.

<sup>70</sup> The first is identification of an appropriate comparator. See Federico Ortino, 'Non-Discriminatory Treatment in Investment Disputes' in Pierre-Marie Dupuy, Ernst-Ulrich Petersmann, and Francesco Francioni (eds), *Human Rights in International Investment Law and Arbitration* (OUP 2009) 360. The first function serves as a directive to compare foreign to local nationals.

<sup>71</sup> For an argument in favour of a 'separate justificatory step after prima facie inconsistency [with national treatment] see Andrew D Mitchell, David Heaton, and Caroline Henckels, *Non-Discrimination and the Role of Regulatory Purpose in International Trade and Investment Law* (Edward Elgar Publishing 2016) 160.

<sup>72</sup> The OECD contemplated public policy 'exceptions' to national treatment in OECD, *National Treatment for Foreign-Controlled Enterprises* (n 8) 21–22 ('key to determining whether a discriminatory measure applied to a foreign investor constitutes an exception to National Treatment'). However, the pamphlet also suggested that these were 'taken into account to define the circumstances in which comparison ... is permissible' (*ibid*). The WTO jurisprudence treats justification as operating 'outside' of national treatment, on which see Federico Ortino, 'From "Non-Discrimination" to "Reasonableness": A Paradigm Shift in International Economic Law?' (2005) Jean Monnet Working Paper 10/05 25.



should be examined independently as are exercises of police powers to excuse alleged expropriations.<sup>73</sup>

Having been relatively neglected, the justification step has not been fully developed or applied consistently by tribunals. The treaties also tend to be silent on the issue,<sup>74</sup> with little added clarity from the arbitral jurisprudence. In UNCTAD's parlance, these matters remain 'open to further refinement',<sup>75</sup> while Dolzer and Schreuer describe the justification exercise as imprecise and 'unclear'.<sup>76</sup> The *Pope & Talbot* tribunal adopted a similar approach to *SD Myers* by acknowledging that the full legal context requires an examination of whether the measure has 'a reasonable nexus to rational government policies that (1) do not distinguish, on their face (or de facto), between foreign-owned and domestic companies, and (2) do not otherwise unduly undermine the investment liberalizing objectives of NAFTA'.<sup>77</sup> That is, once a distinction is found, it can 'be justified by showing that it bears a reasonable relationship to rational policies not motivated by preference of domestic over foreign owned investments'.<sup>78</sup> States can, therefore, escape liability for differential treatment, including intentional discrimination,<sup>79</sup> if the impugned measure is reasonably connected to 'rational' government policy. So long as the state can point to a neutral objective, independent of discriminatory intent or effect, the state will be excused for any unequal treatment of foreign investors.<sup>80</sup>

Among the tribunal decisions that considered the issue of justification, the *GAMI* tribunal excused the Government of Mexico for its expropriation of sugar mills, both locally and foreign owned, on the basis that the 'measure was plausibly connected with a legitimate goal of policy (ensuring that the sugar

<sup>73</sup> It remains difficult, nonetheless, to identify a workable categorical rule in this instance just as it is in characterizing measures as falling within police powers jurisdiction.

<sup>74</sup> The Indian model BIT has incorporated express language in a footnote, directing interpreters to consider 'legitimate regulatory objectives' based on the 'totality of the circumstances'. These circumstances include 'impact ... on third persons, the local community or the environment' in 'Model Text for the Indian Bilateral Investment Treaty' (December 2015) art 5, fn 2 in Paparinskis (n 33) 69.

<sup>75</sup> United Nations Conference on Trade and Development, *Investor-State Dispute Settlement and Impact on Investment Rulemaking* (United Nations 2007) 51.

<sup>76</sup> Rudolf Dolzer and Christoph Schreuer, *Principles of International Investment Law* (2nd edn, OUP 2012) 202–203.

<sup>77</sup> *Pope & Talbot* (n 24) para 78.

<sup>78</sup> *ibid* para 79.

<sup>79</sup> Even if *Pope & Talbot* (n 24) acknowledges this possibility, tribunals seem unlikely to do so in the case of facial distinctions; Caroline Henckels, *Proportionality and Deference in Investor-State Arbitration* (CUP 2015) 135.

<sup>80</sup> Similarly see Sylvie Tabet, 'Beyond the Smoking Gun: Is a Discriminatory Objective Necessary to Find a Breach of National Treatment?' in TJ Grierson Weiler (ed) *Investment Treaty Arbitration and International Law*, vol 1 (JurisNet 2008) 299–313; If, as some commentators suggest, plausible non-protectionist discrimination is drawn from the WTO experience, then the same considerations will apply outside of the NAFTA context, eg Kurtz (n 29) 132.

industry was in the hands of solvent enterprises) and was applied neither in a discriminatory manner nor as a disguised barrier to equal opportunity.<sup>81</sup> In *Archer Daniels Midland*, the tribunal considered whether the foreign investor had ‘unreasonably been treated less favourably than domestic investors in like circumstances.’<sup>82</sup> Imposing a tax on fructose sugar sweeteners (foreign-owned), but not on cane sugar sweeteners (locally owned), could not be justified with reference to any public policy other than a protectionist one that was designed to ‘favor the domestic sugar market.’<sup>83</sup> An objective independent of discrimination was available to Canada in *Pope & Talbot*. ‘Market conditions’ and ‘underlying economics’ dictated the ‘unlike circumstances’ between softwood lumber producers in one Canadian province as compared to another. Both by conferring privileged access to new entrants, and by allotting decreasing shares in production and export to the United States for existing participants, the policy ‘had a reasonable nexus with the rational policy ... and it had no elements of discrimination against foreign-owned producers.’<sup>84</sup> In summary, tribunals have the option to excuse discrimination, *de jure* or *de facto*, ‘on the basis’ that it pursues ‘legitimate public welfare objectives.’<sup>85</sup>

Baetens identifies the few instances where justifiable distinctions are discussed by tribunals, including *SD Myers*, and argues that the more ‘legitimate aims’ are those that advance ‘internationally accepted standards, in particular treaties with quasi-universal adherence.’<sup>86</sup> While international treaties generate good grounds for justifiable differentiation, this criterion looks too cramped. A polity may choose to pursue policy goals that are not yet, and may have little prospect of being, incorporated into a ratified treaty.<sup>87</sup> There is no good reason to limit ‘rational government policies’ only to those expressed in widely adopted international treaties. All variety of policy initiatives, including those following from national constitutions, even those initiatives characterized as bold and innovative,

<sup>81</sup> *Gami Investments Inc v Government of the United Mexican States*, UNCITRAL (15 November 2004) [114].

<sup>82</sup> *Archer Daniels Midland Company and Tate & Lyle Ingredients Americas Inc v The United Mexican States*, ICSID Case No ARB AF/04/5 (21 November 2007) [205].

<sup>83</sup> *ibid* [211]–[212].

<sup>84</sup> *Pope & Talbot* (n 24) [93].

<sup>85</sup> It was proposed (by US negotiators, it is said) that this language be expressly incorporated into a footnote to the national treatment clause in the Transpacific Partnership Agreement. See ‘Drafters’ Note on Interpretation of “In Like Circumstances” under Article 9.4 (National Treatment) and Article 9.5 (Most-Favored-Nation Treatment)’ in Paparinskis (n 33) 792–93. With the election of President Donald Trump, the US withdrew from the agreement and the text was omitted.

<sup>86</sup> Fraya Baetens, ‘Discrimination on the Basis of Nationality: Determining Likeness in Human Rights and Investment Law’ in Stephan Schill (ed), *International Investment Law and Comparative Public Law* (OUP 2010) 279–315, 313. For examples of wider permissible objectives including implementation of international treaties see Mitchell, Heaton, and Henckels (n 71) 166, fn 299.

<sup>87</sup> For example, consider the case of black economic empowerment in South Africa, discussed below.

should be candidates for justification in the face of discrimination under national treatment.

Might the proliferation of 'right to regulate' clauses (RTR) in the treaties change this evaluation?<sup>88</sup> If one accepts the characterization of the Canada-EU CETA as representative of a 'state of the art' agreement, the relevant RTR clause does not add much to the present discussion.<sup>89</sup> It merely reaffirms the right of the parties to 'achieve' a non-exhaustive list of 'legitimate policy objectives' including measures to secure environmental, public morals or social protections.<sup>90</sup> A joint interpretive instrument, meant to respond to those who were holding up CETA approval in the European Parliament, declared further that the parties 'recognize the importance of the right to regulate in the public interest and have reflected it in the Agreement' and that they 'continue to have the ability to achieve the legitimate policy objectives that their democratic institutions set', including a longer list of objectives than the ones noted in CETA's text.<sup>91</sup> That same list of objectives is also included in a separate RTR clause in the joint interpretive instrument, reiterating again that the parties are entitled to 'adopt and apply ... laws ... that regulate economic activity in the public interest, to achieve legitimate public policy objectives.'<sup>92</sup> The RTR is, furthermore, repeated in a supplemental instrument, under the heading of 'Investment Protection', which declares that the CETA 'includes modern rules on investment that preserve the right of governments to regulate in the public interest'. Yet, there is little here to change the evaluation of what are justifiable distinctions that otherwise violates national treatment standard.<sup>93</sup>

<sup>88</sup> Titi answers this question by stating this 'exception is not necessary' as justifications are available in the 'like circumstances' inquiry. See Aikaterini Titi, *The Right to Regulate in International Investment Law* (Nomos 2014) 184 and the discussion of Sierra-Camargo and Suárez-Ricaurte in this volume.

<sup>89</sup> While this discussion is specific to national treatment, the chapter by Sierra-Camargo and Suárez-Ricaurte, in this volume, provides a more fulsome examination.

<sup>90</sup> CETA, art 8.9.1.

<sup>91</sup> Preamble (c) and (d) to the Joint Interpretative Instrument on the CETA Between Canada and the European Union and its Member States.

<sup>92</sup> Section 2 of the Joint Interpretative Instrument on the CETA Between Canada and the European Union and its Member States.

<sup>93</sup> Annex 8-A, s 3 of CETA concerning expropriation indicates that a proportionality inquiry is called for in cases of indirect expropriation, where a measure is 'so severe in light of its purpose that it appears manifestly excessive'. There is no such guidance in CETA despite the Joint Interpretative Instrument's declaration that CETA 'provides clear guidance to dispute resolution Tribunals on how these [clearly defined] standards should be applied' (s. 6 [c]).

## 5.1 Standard of Scrutiny

What standard of scrutiny is suggested by use of the qualifiers such as ‘reasonable’, ‘rational’ or ‘plausible’ in defence of justifiable discrimination? This question preoccupies equality law in national constitutional orders. With few exceptions,<sup>94</sup> it has not been of much concern to the interpretation of national treatment in investment law. Instead, arbitrators have taken for granted that the degree of scrutiny will mostly be strict. To illustrate, the *SD Myers* tribunal, near the conclusion of its award, acknowledged that maintaining an ability to dispose of PCB waste in Canada was a ‘legitimate’ objective as it was in accord ‘with the policy objectives of the Basel Convention’. However, there ‘were a number of legitimate ways by which Canada could have achieved’ this objective, the tribunal opined. Closing the border to the export of hazardous waste was not one of them because ‘the method contravened Canada’s international commitments under the NAFTA’. The tribunal declared that the ‘right to source all government requirements and to grant subsidies to the Canadian industry are but two examples of legitimate alternative measures’, without further discussion.<sup>95</sup>

What the *SD Myers* tribunal appears to have applied was a version of the second step of a proportionality inquiry: the inquiry into ‘necessity’ or ‘less restrictive’ or ‘alternative’ means available to the state. It may be that the tribunal was merely following the textual directive in NAFTA Art. 104, which speaks of departures from NAFTA that aim to adhere to a handful of international environmental and conservation ‘obligations’ (including the Basel Convention) adopted by the parties. On such occasions, when a NAFTA party seeks to depart from obligations it must select, among the ‘equally effective and reasonably available’ means available, ‘the alternative that is the least inconsistent with the other provisions of this Agreement’. Others advocate a similar least restrictive means inquiry, even when there is no such textual directive.<sup>96</sup>

<sup>94</sup> Henckels (n 79); Generally, see Gus Van Harten (n 1); Joshua Paine ‘Standard of Review: Investment Arbitration’ in *Max Planck Encyclopedia of International Law* (OUP 2018).

<sup>95</sup> *SD Myers Inc v Canada* (n 35) [255].

<sup>96</sup> See Mitchell, Heaton, and Henckels (n 71) 146, who insist that a measure be the ‘least restrictive means reasonably available to achieve a legitimate objective’. See also Ortino, who, despite arguing against application of the final branch of the proportionality inquiry (*stricto sensu*), insists that the second branch of the proportionality inquiry, a strict ‘necessity’ test, be applied to determine whether the action taken is the ‘most effective or efficient measure’ amounting to ‘meaningful substantive review’ in Federico Ortino, ‘Investment Treaties, Sustainable Development and Reasonableness Review: A Case Against Strict Proportionality Balancing’ (2016) 30 *Leiden Journal of International Law* 71, para 90.

Yet, even here, NAFTA's directive grants some room to manoeuvre.<sup>97</sup> The process of choosing among reasonably available means that are equally effective and least restrictive is open to a variety of outcomes. One can, after all, almost always imagine less restrictive means. Moreover, how is a tribunal to determine whether means are equally effective?<sup>98</sup> The exercise calls for an assessment of policy alternatives and some measure of deference by tribunals.

In *SD Myers*, the tribunal evinced little understanding of this analytical step. If, by the 'right to source government requirements', the tribunal was envisaging disposal of government waste at particular sites, this approach would not have achieved the objective as effectively since it would have omitted any possibility for domestic private sector waste disposal. As for the tribunal's idea of granting governmental subsidies, even if such subsidies were expressly excepted from national treatment,<sup>99</sup> it was unclear (with no elaboration from the tribunal) why such measures would not run afoul of other standards in NAFTA's investment chapter.<sup>100</sup>

An inquiry into alternative means goes well beyond the justification inquiry suggested by the *Pope & Talbot* tribunal, that is, an inquiry into whether the distinction is for a purpose independent of discriminatory impacts. In *SD Myers*, the tribunal admitted that such a purpose was available to Canada—compliance with the Basel Convention—but this goal was downplayed as 'indirect'. Why is maintaining a country's capacity to dispose of PCBs and other dangerous substances safely, in its own territory, not a matter of direct national interest?<sup>101</sup> How could any country achieve that objective without ensuring that PCB waste could be disposed at an

<sup>97</sup> Inquiries even into 'necessity' can entail a variety of approaches, from 'strict scrutiny to a high degree of deference' in Andrew D Mitchell and Caroline Henckels, 'Variations on a Theme: Comparing the Concept of "Necessity" in International Investment Law and WTO Law' (2013) 14 *Chicago Journal of International Law* 93.

<sup>98</sup> It may be that policy decisions based upon scientific or technical expertise call for more deference. This has not been the experience to date. Instead, Paine (n 94) para 13 notes tribunals have focused upon the 'process' by which states adopt regulatory measures.

<sup>99</sup> NAFTA, art 1108(7)(b), which exempts 'subsidies or grants provided by a Party or a state enterprise, including government supported loans, guarantees and insurance' from art 1102 (national treatment). Kulick describes the tribunal as having 'internalized to a quite remarkable degree' elements of a proportionality test in Andreas Kulick, *Global Public Interest in International Investment Law* (CUP 2012) 244.

<sup>100</sup> See the discussion in Anne van Aaken and Jürgen Kurtz, 'Prudence or Discrimination? Emergency Measures, the Global Financial Crisis and International Economic Law' (2009) 12 *Journal of International Economic Law* 859. See generally OECD (n 8) 30, identifying subsidies that can comprise exceptions to national treatment as being confined to circumstances where the state is a shareholder, offsetting costs imposed by the state, or state aid in the form of grants, low interest loans, interest subsidies, and state guarantees. The case of subsidies that favour only locals, in other words, is not likely justifiable under a strict standard of scrutiny.

<sup>101</sup> This was the stated Canadian policy before *SD Myers* began to court Canadian customers in *SD Myers* (n 35) [108], [109]; The direct/indirect distinction is reminiscent of discredited *Lochner* era jurisprudence in the US; see eg *ALA. Schechter Poultry Corp v United States* 295 US 495 (1935).

existing facility located in the state? This was precisely the goal specified in the Minister's interim order justifying the ban on hazardous waste exports.<sup>102</sup> In response, the tribunal appears to have felt compelled to find a violation of national treatment because of the Minister of the Environment's statement in the House of Commons that the handling of PCBs should be 'done in Canada by Canadians'.<sup>103</sup> Why can't this statement be treated simply as a rhetorical flourish by an outspoken politician?<sup>104</sup> The government's written policy had been laid down six years earlier by a national council of environment ministers, following ratification of the Basel Convention. It was not an after-the-fact justification, as many commentators have insinuated. Indeed, the policy of the US Environmental Protection Agency (EPA) was also in accord with this objective, having imposed an 'absolute ban' on PCB imports until the government was successfully lobbied by SD Myers to open the US–Canada border. The border was closed not long after by court order. This is because the EPA had issued its directive opening the border in violation of federal law controlling admission, on a temporary basis, of toxic substances.<sup>105</sup> Yet, in *SD Myers*, the tribunal insisted, dismissively, that the shared policy rationale for closing the border was not a 'legitimate environmental reason' and only an 'indirect' objective.<sup>106</sup>

The apparent consensus among investment law specialists is that *SD Myers* was correctly decided.<sup>107</sup> This consensus has emerged despite the tribunal's highly restrictive standard of scrutiny and its eliding of arguments that closure of the border to hazardous waste served important purposes. The dominant view rejects that the state's purposes in this case were reasonable, rational, and plausible and aimed at objectives for which other measures would not have been as effective. In turn, there has emerged a corresponding view that

<sup>102</sup> 'On becoming aware of information indicating that the U.S. Environmental Protection Agency is allowing PCB imports into the U.S. from CANADA for destruction, the Minister of the Environment made this Interim Order to Amend the PCB Waste Export Regulations on November 20, 1995. "The purpose of the Interim Order is to ensure that Canadian PCB Wastes are managed in an environmentally sound manner in CANADA and to prevent any possible significant danger to the environment or to human life or health," quoted in *SD Myers* (n 35) [123].

<sup>103</sup> *ibid* [116] (emphasis added). The minister is quoted in Hansard as stating that: 'It is still the position of the government that the handling of PCBs should be done in Canada by Canadians.'

<sup>104</sup> Should the principle of ministerial 'responsibility' (Kurtz (n 29) at 128) have greater weight than sound environmental policy? One is left wondering if the outcome would have been different had Minister Copps received proper legal advice about the matter and had exercised more discretion in expressing government policy.

<sup>105</sup> In *Sierra Club v United States Environmental Protection Agency* 118 F3d 1324 (9th Cir 1997), mentioned in *SD Myers* (n 35) [128].

<sup>106</sup> *SD Myers* (n 35) [195].

<sup>107</sup> See eg Kurtz (n 29); Andrea K Bjorklund, 'National Treatment' in August Reinisch (ed), *Standards of Investment Protection* (OUP 2008) 29–58, 39–40; August Reinisch, 'National Treatment' in Marc Bungenberg and others (eds), *International Investment Law* (CH Beck/Hart Publishing/Nomos 2015) 846–69, paras 18–23.

distinctions made by states should be closely scrutinized under the rubric of national treatment. The OECD, for instance, declares that measures will violate national treatment whenever ‘discrimination is motivated, *at least in part*, by the fact that the enterprises concerned are under foreign control.’<sup>108</sup> There may be any number of motivations for state measures. Condemning all those that are partly motivated by discrimination appears highly intrusive, particularly when there may be other legitimate policy reasons for the measure. The penchant for strict standards of scrutiny is also manifest in Mitchell, Heaton, and Henckels’ argument that permitting merely ‘*one* non-discriminatory, legitimate regulatory purpose’ to escape the charge of discrimination would ‘defeat’ the object of the standard of protection. Only if the discriminatory measure is ‘*de minimis* or totally insignificant compared with other purposes’, they argue, could a measure escape a charge of national treatment violation.<sup>109</sup> Nor is the analysis made easier by characterizing a measure’s dominant purpose, as Kurtz and others recommend.<sup>110</sup> This, again, is often difficult to accomplish given the multitude purposes that can be served by an impugned measure. Some laws serve multiple constituencies; some even achieve contradictory purposes.<sup>111</sup>

This desire to impose strict standards of proof reveals an anti-regulatory disposition. It demands that a state act for no other purpose than a non-discriminatory one. So long as discrimination against foreign investors plays some role in policy design that is not totally ‘insignificant’, then the measure violates national treatment.<sup>112</sup> Insubstantial discriminatory side-effects are permissible if they are not a primary purpose of a measure. If the resulting adverse impact is anything more than *de minimis*, even if in pursuit of an important non-discriminatory objective, it will not be tolerated.<sup>113</sup> Anything less, it is said, would defeat the object of national treatment.

<sup>108</sup> OECD (n 8) 22 (emphasis added).

<sup>109</sup> Mitchell, Heaton, and Henckels (n 71) 166–67. Apart from *Clayton*, they argue, arbitrators have not second-guessed regulatory objectives provided they are ‘plausible and non-discriminatory’ (at 166).

<sup>110</sup> Jürgen Kurtz, ‘Balancing Investor Protection and Regulatory Freedom in International Investment Law: The Necessary, Complex, and Vital Search for State Purpose’ in *Yearbook on International Investment Law and Policy 2013–14* (OUP 2015) 251–304 at para 301; Mitchell, Heaton, and Henckels (n 71) 88, 90–91; also Kurtz (n 29) 127 where, applying a public choice account of investment law, he calls upon tribunals to evaluate the dominant political forces at work promoting the measure.

<sup>111</sup> Robert C. Farrell, ‘Legislative Purpose and Equal Protection’s Rationality Review’ (1992) 37 *Villanova Law Review* 1, 166, para 18 (‘It is even possible that a law will have two purposes that pull in opposite directions’); Henckels admits that a measure of deference may be owed in such circumstances in Henckels (n 79) 136.

<sup>112</sup> On the distinction between *animus* playing ‘some role’ in decision-making (resulting in a lesser burden on plaintiffs) and showing ‘but for’ causation (resulting in a stricter burden) see *Comcast Corp v National Association of African American-Owned Media* 589 US (2020).

<sup>113</sup> This is not an argument meant to advocate for discriminatory conduct. Rather, it is an argument that tolerates discriminatory treatment, *de jure* or *de facto*, so long as a valid non-discriminatory objective is being pursued.



What is specifically intolerable for this school of thought is a standard of scrutiny that confines itself to rationality review or, as in the first stage of a proportionality analysis, rational connection. For such a standard of review, the burden of justifying limitations on investor rights is more easily satisfied than under the stricter standard promoted by most investment law scholars and lawyers. For instance, the US Supreme Court has ruled that such a burden of proof can be discharged, in a case involving a violation of religious freedom, 'so long as it [the policy] can reasonably be understood to result from a justification independent of unconstitutional grounds'.<sup>114</sup> Out of mutual respect, the Court presumes that other constitutional branches are proceeding primarily on firm constitutional ground. By imposing a low threshold on the state, rationality review allows for constitutionally valid objectives otherwise to be pursued. Such respect for host state governments is rarely on display in investment law discussions.<sup>115</sup>

Thus, it is not entirely convincing when Mitchell, Heaton, and Henckels describe their approach to national treatment as advocating only for a 'rational or reasonable connection' to satisfy the national standard.<sup>116</sup> This is because elsewhere, as mentioned, they insist on more: that there be no evidence of protectionist purpose beyond the *de minimis*.<sup>117</sup> To similar effect, Di Mascio and Pauwelyn argue that a rational relationship test is appropriate only if the non-protectionist purpose is relatively unimportant. In other cases, the burden of proof rises to what they call a 'substantially related to' test, analogous to a test of 'necessity'.<sup>118</sup> For these authors, the ruling in *SD Myers*, applying a strict standard of scrutiny, was undoubtedly correct.

Unexpectedly, Dean Ronald A. Cass, in a separate statement in the *UPS* award, declined to apply strict scrutiny in an inquiry into justifiable discrimination.<sup>119</sup> At issue was the Canadian federal government's support for Canada Post's courier delivery service, Purolator. In addition to preferential treatment at Canadian border points of entry, Canada Post also received indirect support via a publication assistance programme (PAP), which provided subsidies to Canadian publishers who used Canada Post to distribute their periodicals. This

<sup>114</sup> *Trump v Hawaii* 138 S Ct 2392, 2420 (2018) (applying rational basis review to President Trump's executive order closing the US border to select Muslim countries).

<sup>115</sup> Van Harten (n 1) 73.

<sup>116</sup> Mitchell, Heaton, and Henckels (n 71) 160.

<sup>117</sup> *ibid* 166.

<sup>118</sup> Di Mascio and Pauwelyn (n 26) 87.

<sup>119</sup> *United Parcel Service of America Inc v Canada*, Ad hoc–UNCITRAL Arbitration Rules, Award and Separate Opinion (24 May 2007). Unexpectedly, because Dean Cass has been appointed exclusively by claimants according to IA Reporter's 'Arbitrator Profile and Appointments' (last accessed 31 August 2023).

indirect support was unavailable to Purolator's US competitor, United Parcel Service (UPS). A majority of the tribunal concluded that UPS and Canada Post were not in like circumstances given Canada Post's statutory obligation to deliver to every corner of the country. Rather, UPS was in like circumstances to other courier delivery services, Canadian and foreign owned, that were not responsible for comprehensive delivery. Furthermore, Canada was entitled to take advantage of the cultural industry exemption in NAFTA.<sup>120</sup> Dean Cass dissented on these points and would have issued an award of damages in favour of the investor. In the course of so doing, he articulated a standard of review for determining 'reasonableness' in the context of a national treatment claim. This review should be undertaken, Cass declared, with something less than strict scrutiny. He characterized the UPS argument as inviting the tribunal to adopt a 'less restrictive means' test.<sup>121</sup> The test was rejected by Cass as it would 'severely constrain NAFTA Parties in pursuit of their own objectives and would greatly expand the power of NAFTA tribunals to evaluate the legitimacy of government objectives and efficacy of governmentally chosen means'; likewise, it would 'intrude ... forcefully on government prerogatives.'<sup>122</sup> While 'bald discrimination on the basis of nationality cannot be salvaged' by an assertion of reasonableness, a different standard should apply 'where the claim of national treatment violation rests on the effects of decisions not expressly predicated on nationality'. This call for respect for the other branches of the state resembles a direction taken in the initial draft of the Model Indian BIT. Although subsequently abandoned, that draft would have instructed tribunals to grant 'substantial deference' when considering factors justifying departures from equal treatment.<sup>123</sup>

In *UPS*, arbitrator Cass preferred not to specify 'a precise formula for the degree of justification required'. Instead, he adopted an alternative argument attacking the 'legitimacy' of Canada's justification for confining the publication assistance program benefits only to customers of Canada Post. That rationale was never clearly articulated when Canada 'framed the current structure for delivery'. The government had never questioned *why* it was important to pursue these 'broader public policy goals' and, instead, crafted a plan 'that on its face

<sup>120</sup> *ibid* paras 177, 172. The cultural industries exception can be found in NAFTA, art 2106 and Annex 2106.

<sup>121</sup> *United Parcel Service* (n 119) Separate Statement, para 113.

<sup>122</sup> *ibid* paras 117–18.

<sup>123</sup> This direction was abandoned in the final version of the model text. See 'Model Text for the Indian Bilateral Investment Treaty' (April 2015) art 4, fn 2 [https://www.mygov.in/sites/default/files/master\\_image/Model%20Text%20for%20the%20Indian%20Bilateral%20Investment%20Treaty.pdf](https://www.mygov.in/sites/default/files/master_image/Model%20Text%20for%20the%20Indian%20Bilateral%20Investment%20Treaty.pdf) (accessed 17 December 2019) and the India–Colombia BIT (2016) art 4 for the final version.

seemed to ask only *how* to give PAP benefits to Canada Post.<sup>124</sup> Cass declined to defer to Canada's assertion that this was a justifiable policy choice. Otherwise, Cass claimed, the NAFTA parties could 'craft rationales during the course of a dispute that would be tailored to the legal issues arising in the proceeding'.<sup>125</sup> Canada's simple assertion, without more, meant that it had not rebutted the prima facie case that UPS and Canada Post were in like circumstances.

Just the opposite lesson to that recommended by Cass is drawn by Baetens from her inquiry into what investment lawyers can learn from international human rights law. To determine whether it is appropriate to find 'likeness' (non-justifiable discrimination), she argues that arbitrators should inquire into whether 'alternative (entirely different) measures are available'. Even if no other measures achieve the same objective, that is, 'even if this particular measure is the only option available, the state needs to ensure that it is not enacted in a more restrictive manner than is required to achieve this legitimate aim (the proportionality principle)'.<sup>126</sup> Here, she declares that any claimed exceptions to national treatment must be scrutinized closely, recalling the strictest test available in national constitutional orders.<sup>127</sup> Notably, Baetens does not appear to derive this onerous standard directly from international human rights practice, even as she purports to draw lessons from these international obligations. Missing from her list of factors, for instance, is the margin of appreciation that is typically granted to states in meeting their human rights obligations.<sup>128</sup> Indeed, Baetens affords little deference at all to the state, instead, favouring the most intrusive standard of scrutiny.

In this stream of anti-regulatory scholarship and arbitral awards, it is as if state measures were directed at the most vulnerable groups in society, those who are 'anonymous', 'diffuse', and 'systematically disadvantaged in pluralist democracy'.<sup>129</sup> Of course, these descriptors are hardly credible. Foreign investors, particularly those able to finance investment claims, have a variety of means to influence states in both operative and non-operative democracies.<sup>130</sup>

<sup>124</sup> *United Parcel Service* (n 119) Separate Statement, para 130 (italics in original).

<sup>125</sup> *ibid* para 132.

<sup>126</sup> Baetens (n 86) 305.

<sup>127</sup> Baetens may have been inspired by the International Law Commission's draft articles for determining whether a state is entitled to invoke a defence of necessity. States can preclude wrongfulness of an international act if the action is 'the only means ... to safeguard against a grave and imminent peril'. See art 25(1)(a) reproduced in Paparinskis (n 33) 134, cited in CMS Gas Transmission Company v. República Argentina, Award, ICSID Case No ARB/01/08 (12 May 2005) para 316.

<sup>128</sup> This is discussed in Baetens (n 86) 294–96.

<sup>129</sup> Bruce A Ackerman, 'Beyond Carolene Products' (1985) 98 Harvard Law Review 713, 724.

<sup>130</sup> Further on this see David Schneiderman, 'Investing in Democracy? Political Process and International Investment Law' (2010) 60 University of Toronto Law Journal 909.

The standard of scrutiny to assess reasonableness in national treatment analysis calls for a rethink. Far more deference to regulators and legislators is warranted.

## 6 No Greater Rights

The CETA joint interpretative instrument declares that ‘CETA will not result in foreign investors being treated more favourably than domestic investors.’<sup>131</sup> The object of this declaration was to reassure Europeans (and, perhaps, Canadians) that the CETA did not entitle Canadian investors to greater rights than those available to the citizens of EU states. This ‘no greater rights’ claim has been relied on by European and US political leadership to defend various trade and investment agreements. The claim has not been an entirely successful one.<sup>132</sup> As mentioned above, the ambit of national treatment standards exceeds constitutional protections under the US equal protection clause. In Canada, there are national and sub-national legal protections against discrimination (on grounds of national origin, for instance) in addition to constitutional protections against discrimination. Absent intentional discrimination of the most objectionable sort (on the grounds of race, for instance), these protections typically do not attract strict scrutiny but rather a more deferential standard of review. The same could be said of the rights of European citizens; equality violations typically do not attract strict scrutiny as doctrines of subsidiarity and margin of appreciation, for instance, serve to soften the standard of review. The case that foreign investors gain greater rights is made even more convincing once other standards of protection, such as expropriation and fair and equitable treatment, are brought into the discussion. Clearly, the CETA’s declaration of ‘no greater rights’ is, at the very least, disingenuous.

The case of *Clayton v Canada* demonstrates how national treatment can deliver better treatment for foreign investors. The Bilcon Company of Delaware sought damages against Canada for its reliance on an allegedly flawed independent environmental review consisting of public hearings, scientific evidence, and the production of a lengthy, detailed report. The review panel had recommended that the investor be refused permission to construct a rock

<sup>131</sup> See s 6(a) of the CETA’s Joint Interpretative Instrument.

<sup>132</sup> As I have argued elsewhere. See eg David Schneiderman, “Writing the Rules of the Global Economy”: How America Defines the Contours of International Investment Law’ (2018) 6 London Review of International Law 255.

quarry, along with a processing and ship-loading facility, on sensitive coastline in Nova Scotia. Comprised of three scientists, the panel advised against approval because of the proposed project's adverse environmental effects to land, marine, and human environments. The principal investors, the Clayton family, claimed that the panel failed to apply Canadian environmental law by having taken into account 'community core values', a consideration not mentioned in the authorizing statute. A majority of the tribunal agreed. Having relied on the panel's flawed decision, the government's conduct was found to be 'arbitrary', falling foul of NAFTA's minimum standard of treatment.<sup>133</sup>

The majority also decided that Canada offended NAFTA's standard of national treatment for having subjected the investor's proposal to public scrutiny under the auspices of an independent environmental review. The Clayton investment, it was argued, had been treated differently from similar projects that were granted approval through more expeditious processes, such as environmental screening or simple comprehensive study. Those investments had not been subject to the spotlight of public hearings. There was no ground for this differential treatment, the investor claimed, other than vocal community opposition to its proposal.<sup>134</sup> Minimal scrutiny, despite the proposal's significant impacts on the environment, would have been more appropriate, according to the claimant's expert in Canadian environmental law. What the investor alleged, and the tribunal accepted, was the pernicious argument that, because the government employed a process that dug deeper into adverse environmental effects and afforded an opportunity for transparency and community input in the approval process, Canada had discriminated against the investor on nationality grounds.<sup>135</sup>

There are many troubling elements to the *Clayton* decision.<sup>136</sup> Having regard only to the claim that investors have no greater rights than locals, the tribunal granted an award of damages that would not have been available to claimants in Canadian courts. As the dissenting arbitrator McRae put it, the tribunal imported a 'damages remedy not available under Canadian law'.<sup>137</sup> If successful in a Canadian court, the remedy for the Claytons would have been a judicial order

<sup>133</sup> *Clayton v Canada*, PCA Case No 2009-04, Award on Jurisdiction and Liability (17 March 2015) para 591.

<sup>134</sup> *Clayton v Canada*, Expert Report of David Estrin, PCA Case No 2009-04 (8 July 2011) para 101 [www.italaw.com/sites/default/files/case-documents/italaw6286.pdf](http://www.italaw.com/sites/default/files/case-documents/italaw6286.pdf).

<sup>135</sup> *Clayton v Canada* (n 133) para 724.

<sup>136</sup> For instance, it is not beyond question that the joint review panel misapplied Canadian law. The Federal Court of Canada might only have 'potentially' been interested in the claim, observed dissenting arbitrator McRae.

<sup>137</sup> *Clayton*, Award on Jurisdiction and Liability, Dissenting Opinion of Professor Donald McRae (n 33) para 48.

to reconsider their application under the relevant statute. This opportunity for more favourable treatment helps to explain the investor's launching of a direct NAFTA dispute without prior resort to the local courts. It reveals the hollowness of CETA's declaration that foreign investors are not 'treated more favourably than domestic investors'.<sup>138</sup>

The *Foresti* dispute also reveals how investment treaties confer privileged rights on foreign investors. The South African government had initiated a plan to support black economic empowerment<sup>139</sup> in furtherance of its constitutional commitment to equality and to advancing the interests of 'categories of persons, disadvantaged by unfair discrimination'.<sup>140</sup> There were various elements to the plan, but the one that triggered the dispute was a requirement that existing mineral rights be replaced with new licences, resulting in the sale of 26 per cent of the ownership in mining companies to historically disadvantaged South Africans. This forced divestiture, it was claimed, amounted to an expropriation (direct or indirect<sup>141</sup>) and a denial of national treatment. The dispute was not ultimately resolved. After it was revealed that one of South Africa's lawyers had solicited a substantial bribe, conditional on him convincing the government to settle the case, the investor's claim was discontinued. The tribunal ended up awarding costs in favour of the state.<sup>142</sup>

The choice of comparator group would have been critical to the claimant's success in *Foresti*. Where foreign investors are required to give up part of their investment to locals, such a measure could be characterized as discriminatory. The scheme, after all, was structured precisely in ways that favoured South African nationals, exhibiting the kind of 'capture' that worries public choice accounts of investment law. Were foreign investors entitled to the best treatment available to any domestic investor in the mining sector, including those owned by historically disadvantaged South Africans? Or was the appropriate comparator those most similarly situated to the *Foresti* group, that is, South Africans who owned investments in the mining sector but were not historically

<sup>138</sup> This was a question the Court of Justice of the European Union (n 53) also preferred not to ask.

<sup>139</sup> For an evaluation of BEE and its non-conformity with investment treaty obligations, see David Schneiderman, *Constitutionalizing Economic Globalization: Investment Rules and Democracy's Promise* (CUP 2008) at 147–156.

<sup>140</sup> See art 9 of the Constitution of the Republic of South Africa.

<sup>141</sup> Compensation under the investment treaty would be immediate, fully transferable, and at fair market value which was well beyond the constitutional standard of what was equivalent to 'appropriate' compensation. For more on this see Schneiderman (n 139) at 137–47.

<sup>142</sup> See *Foresti and Others v South Africa*, ICSID Case No ARB AF/07/, Award (3 August 2010) [31], [133].

disadvantaged?<sup>143</sup> The latter approach would have been endorsed by South Africa's Constitutional Court, having adopted interpretations that would have supported the scheme in any constitutional challenge. Given the remedial nature of the country's constitutional guarantee of equality, the measure would be considered consonant with the Constitution's transformative agenda. Those who are more advantaged, Justice Albie Sachs has written, are expected to 'bear a larger portion of the burden of transformation than others'.<sup>144</sup> Equality is not merely about treating everyone the same. It also is about tolerating unequal treatment so as to protect vulnerable groups and advance their social position for the purpose of remedying historic disadvantage.

On these grounds, South Africa's measure bore a 'reasonable relationship to rational policies' not motivated by a discriminatory preference. Put differently, the rule had a justification that was independent of its discriminatory impact. Yet, among its non-*de minimis* purposes, it also differentiated between foreign investors who, by definition, could not benefit from the scheme and a sub-set of locals who could.<sup>145</sup>

The *Foresti* dispute isolates a number of unsettled difficulties in national treatment analysis. First, it reveals that policies, not primarily motivated by *animus* toward foreign investors, cannot be saved if they unintentionally have the effect of discriminating against foreigners. Secondly, the dispute points to the difficulty of identifying an appropriate comparator and, thirdly, to the difficulty of articulating and applying a justification test. Fourthly, it points to the fact that the claimants sought an exemption from the constitution's promise of substantive equality. All other local firms had to comply. Under the logic of national treatment, however, foreign investors would be excused from the shared burden of reversing widespread economic inequality.

These criticisms point to the merits of the Calvo doctrine. Its key premise, articulated by Argentinian jurist Carlos Calvo, is that foreign actors have no absolute right to diplomatic protection under international law. They are entitled only to equal treatment with locals and any complaint about differential treatment is to be settled by local courts: '[n]o alien has a right to demand

<sup>143</sup> This was the comparator proposed by in Luke Eric Peterson, 'South Africa's Bilateral Investment Treaties: Implications for Development and Human Rights' (November 2006) *Dialogue on Globalization Occasional Papers* No 26, 31 <http://library.fes.de/pdf-files/iez/global/04137-20080708.pdf> (accessed 20 October 2019).

<sup>144</sup> *Minister of Finance and Another v Van Heerden* (2004) 6 SA 21(CC) [154].

<sup>145</sup> Were South Africa to claim that BEE was not motivated by an *animus* directed at foreign investors, this would not salvage the measure in so far as it had de facto discriminated.



more.<sup>146</sup> Even if Calvo's views were complicated by arguments about civilized justice in Latin America,<sup>147</sup> his doctrine is predicated on the principle of equality and non-intervention among states—that, 'as a matter of international law, no state may intervene, diplomatically or otherwise, to enforce its citizens' private claims in a foreign state.'<sup>148</sup> It also presupposes that nationals in host states will be treated similarly to foreigners. This equality principle, however, is jettisoned once treaties bind states to provide treatment beyond that which is binding on locals and not for the purpose of protecting members of a vulnerable group that has experienced historic disadvantage. Unless, that is, investment law requires that we treat foreign investors as similarly situated to black South Africans seeking to overcome the vestiges of apartheid?

## 7 Conclusion

This examination of national treatment doctrine has revealed an evolving and inconsistent set of understandings about how equality principles operate in investment law. An optimistic assessment suggests that arbitrators may be on a learning curve, slowly acquiring more nuanced understanding of how discrimination analysis operates in theory and practice. Arbitrators could, with this knowledge, retreat from capacious review of state policy in favour of a more carefully calibrated review. They could undertake their review function with an understanding that foreign nationals do not experience discrimination solely because a measure negatively impacts them on the grounds of nationality. More of this type of learning is needed before national treatment can be tailored to its function of policing unjust discrimination.

At present, problems persist. Tribunals are too quick to rush to judgment in cases of indirect discrimination. The search for appropriate comparators has proven especially challenging. The readiness of scholars and arbitrators to condemn state measures that intermingle discriminatory and non-discriminatory purposes is disquieting. It is particularly so when non-discriminatory objectives pursue important policy goals. Connected to these problems is the indeterminate standard of review that is applied to scrutinize the justifications for state measures. Whether the path forward shifts away from strict scrutiny will

<sup>146</sup> See Shea (n 10) 109.

<sup>147</sup> Liliana Obregón, 'Between Civilization and Barbarism: Creole Interventions in International Law' (2006) 27 *Third World Quarterly* 815.

<sup>148</sup> Gloria Sandrino, 'The NAFTA Investment Chapter and Foreign Direct Investment in Mexico: A Third World Perspective' (1994) 27 *Vanderbilt Journal of Transnational Law* 259, 268.

determine whether, in future, national treatment is an obstacle to measures aimed at ameliorating economic inequality. With strict scrutiny, states are disarmed from pursuing what could be characterized as just discrimination.

There is an irony in the invocation of national treatment by foreign investors to escape responsibilities imposed upon local economic actors. The special treatment bestowed upon foreign investors is compounded by the many other treaty protections to which they can avail themselves. Cumulatively, they have the effect of shifting investment law from the promotion of equality of opportunity to the generation of more privileges for international elites. One can reasonably conclude that investment law norm entrepreneurs are little more than strategically egalitarian.<sup>149</sup> It comes as no surprise that, in locales around the world, people are dismayed by public power's inability to resist the demands and priorities of the economically powerful few.

<sup>149</sup> Norberto Bobbio, *Left and Right: The Significance of a Political Distinction* (Polity Press 1996) 70.